

iv. Before we move ahead, let’s just briefly understand what deductions & exemptions are.

Deductions

Deductions are your investments and expenditures, which can give you tax benefits. For example, if you take a home loan, the interest and principal you repay can give you tax benefits.

Exemptions

Exemptions are the income you have that is not taxable, which is a part of the salary structure, and you do not have much control over changing it; however, you can request your employer to change your salary structure to make it more tax-efficient.

v. Example

Particulars	Amount in Rupees
Salary Income / Gross Salary	₹ 8,40,000
Exemptions: (-) HRA (5,000 x 12)	₹ 60,000
(-) Standard Deduction Under Section 16(i)	₹ 50,000
Net Taxable Salary	₹ 7,30,000
Other Income (FD Interest)	₹ 10,000
Gross Taxable Income	₹ 7,40,000
Deductions: (-) EPF, PPF, ELSS Under Section 80C (-) Mediclaim Under Section 80D	₹ 1,00,000 ₹ 20,000
Net Taxable Income	₹ 6,20,000

This is how tax calculations work in India, as per the old regime. Let’s discuss more about the different tax regimes in the next segment. This is the amount that you have to pay taxes on according to the tax slab.